

Dec 2024~Jan 2025. Issue

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SHINHAN Customs Service Inc.



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The firm belief in what we hope for

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Only by seeking objective facts, respecting diverse
perspectives, and cultivating critical thinking, we
can truly think and act freely.
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Faith is the firm belief in what we hope for and assurance about what we do not see.

A meteorite is a rock that originates in outer space and survives its passage through Earth's atmosphere to reach the planet's surface. The notion that meteorites are rocks falling from space has been recognized for a long time. There are records stating "stars fell to the earth and became stones," and ancient Egyptians referred to iron as a "gift from the sky."

However, Western scientists denied the existence of meteorites until the late 18th century. Despite thousands of years of reports of falling meteorites, they dismissed them as superstition. They scoffed at the idea, saying, "Interstellar space is a vacuum and a complete void, so how could a rock fall?" They ridiculed those who talked about meteorites as ignorant. Since they couldn't see it with their own eyes and couldn't explain it, they simply denied the phenomenon. When a German scientist published a book observing, recording, and interpreting the phenomenon of meteorite falls, other scientists refused to accept it.

Eventually, with research and persuasion from a renowned physicist, the attitude changed. Scientists then abandoned their prejudices about meteorites and began to study them seriously. They finally accepted the conclusion that meteorites are rocks that fall from space.

This shows that scientific knowledge is based on social trust. Even long-held biases can be shaken and changed by the opinions of authoritative figures.

Ideal and Reality for this month is 'Application and Interpretation of the Direct Transport Rule under FTA Agreements for LNG Imports'; Analysis on Recent Customs Judicial Precedent covers 'Whether the item in question (Low Iron Patterned Solar Glass Arc Coating) should be classified as HSK heading 8541.90-9000 as a part of a solar module, or as HSK heading 7007.19-1000 as other safety tempered glass.'; and HS case solved by logic reports 'Classification of food serving robots'; Global Customs Insight is 'Benefits and prospects from the entry into force of the Korea-Philippine FTA' and FTA and import/export practical business guide is 'Korea-Philippines FTA takes effect'; Contents and Opinion of Customs Trade amendment Covers 'Establishment of "Notice on Collection Processing"'

Faith is the belief in things hoped for, the conviction of things not seen. It's more than just an idea; it's a powerful force that transforms our lives and drives our actions. It's not something we achieve solely through our own efforts but is a gift, nurtured by our positive expectations and hopes, and bestowed upon us by the object of our trust.

On the other hand, we have confirmation bias, the tendency to search for, interpret, favor, and recall information in a way that confirms or supports one's prior beliefs or values. It often leads to the neglect of information that contradicts those beliefs. Political confirmation bias, for instance, is the tendency to accept information that supports one's favored political candidate and reject information that does not. Confirmation bias hinders personal growth by blocking the acceptance of new information or perspectives.

Do people ever think their beliefs or convictions might be narrow-minded or irrational? Most people believe they judge fairly and objectively. However, today's technology and media are driving many people into two extreme camps: the left and the right. Both sides claim their path is the only correct and just one, and the information presented on these paths reinforces this belief. Once on a particular path, users are only shown information recommended by algorithms.

Other information remains hidden. The indiscriminate spread of fake news further exacerbates this, as people are drawn into confirmation bias before facts and the truth can be ascertained, leading to increased polarization of public opinion.

Can we truly isolate ourselves in society, disregarding the opinions of others and relying solely on our personal experiences? How do we determine who is credible? Should we blindly trust those in positions of authority?

We all tend to cling to what we believe is right. However, confirmation bias distorts our thinking and is a major cause of social division. Only by seeking objective facts, respecting diverse perspectives, and cultivating critical thinking we can truly think and act freely.

The tumultuous 2024 came to a close with many issues unresolved. Even though the new year has begun, there seems to be no sign of the chaotic situation being resolved. There were coups, impeachments, and more impeachments...

However, I am reminded of the old saying, "Don't borrow trouble." As we usher in the new year, I reflect on what each of us should do to protect our country and society at this moment. First, let's do our assigned tasks faithfully and honestly where we are. Second, let's love and support those around us so that trust can be restored in our society. Third, let's believe and pray that justice and righteousness will prevail in our nation.

If we all work together in 2025, we can create a more open society. South Korea has overcome the IMF crisis and the financial crisis. I believe we can overcome this crisis as well.

Happy New Year!





Ideal and Reality

Application and Interpretation of the Direct Transport Rule under FTA Agreements for LNG Imports

1. The Need for Consensus Between Taxpayers and Tax Authorities

As generative AI, including ChatGPT, spreads across the economy and society, its application in customs clearance and various fields of taxation will inevitably expand.

Starting with this issue, we aim to explore and guide topics that can broaden the scope of "consensus" on differences in perspectives between tax authorities imposing taxes and companies paying them.

Consensus between taxpayers and tax authorities involves understanding each other's positions and building trust by applying tax laws based on reality. During the pandemic and the expansion of digitization, reduced meetings and conversations between taxpayers and tax authorities have led to new disputes, even on long-standing practices. Issues arise even with older laws that no longer align with current realities, despite being rooted in common sense.



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The notion that tax authorities prioritize regulations while businesses prioritize practicalities does not universally apply. Broadening mutual understanding is essential for fair and efficient tax administration. Without this, we may find ourselves lagging behind generative AI in discussing a single topic.

2. Direct Transport Rules Are Understandable for General Cargo under FTA Agreements

First, the provisions of Annex 3, Article 9 (Direct Transport) of the Korea-ASEAN FTA are as follows:

According to Article 9 of Annex 3, the direct transport principle does not recognize goods

1. Preferential tariff treatment shall apply to goods meeting the requirements of this Annex and directly transported between the territories of the exporting and importing parties.
2. Notwithstanding the provisions of paragraph 1, goods transiting through one or more third countries outside the territories of the exporting and importing parties shall be deemed directly transported if the following conditions are met:
 - a. The transit is justified by geographical reasons or solely for transport-related considerations.
 - b. The goods are neither traded nor consumed in the third country.
 - c. The goods undergo no operations other than unloading, reloading, or operations necessary to preserve them in good condition.

as originating if they transit through a country that is not a party to the FTA. However, in real-world international trade, many originating goods transit through third countries. Therefore, exceptions under paragraph 2 allow goods to be considered as directly transported even if they transit through or are transshipped in third countries, as long as the transit is unavoidable for transportation reasons.

Why does the FTA require the direct transport rule?

The primary purpose is to prevent distortion or laundering of origin during international transportation and to prevent unlawful application of FTA tariff rates. The principle ensures that only goods produced in FTA member countries qualify for FTA preferential treatment. For general containerized or LCL (Less than Container Load) cargo, if the goods are imported via a third country, and those goods are not traded, unloaded, reloaded, or processed in any way other than operations to maintain their good condition, then they qualify for the direct transport rule under paragraph 2 of Article 9 and can be subject to

FTA preferential tariff rates. Experience indicates that understanding and applying these rules is not particularly difficult. General cargo is transported in boxes or containers, making compliance relatively straightforward at the B/L (Bill of Lading) level.

3. Understanding LNG, a Single Cargo Per Vessel

How does the FTA agreement's direct transport rule apply to LNG in international trade?

Liquefied Natural Gas (LNG) occupies approximately 1/600th of the volume of natural gas. It is cooled to -162°C to condense into liquid form and must be transported internationally under ultra-low temperature conditions. If the temperature rises, LNG tanks can be damaged, potentially leading to major accidents.

To ensure safety, LNG tanks must always maintain a specific amount of "heel" LNG gas necessary for transport. If the LNG volume decreases during transport, the empty space causes a rise in temperature, leading to vaporization and expansion, which can jeopardize the safety of the tank.

In exporting countries, natural gas is produced and stored in LNG terminal tanks, then loaded into the four tanks of an LNG carrier. The carrier transports the LNG to the importing country, where it is unloaded into the LNG terminal tanks. The imported LNG is subsequently regasified and supplied to consumers.

To maintain safety and efficiency, LNG tanks in the manufacturing country, the transport vessel, and the importing country must hold consistent volumes. Production levels, weather conditions, vessel schedules, and tank capacities must all be carefully coordinated. Consequently, the amount of LNG a carrier can purchase from the manufacturer is predetermined for each shipment.

For economic feasibility, an LNG carrier's voyage typically requires all four tanks to be fully loaded. Manufacturers generally cannot adjust the supply based on the importer's needs at the time.

Recently, the war in Ukraine has reduced the supply of Russian LNG to Europe, prompting Europe to purchase LNG produced in Asia. This imbalance has made LNG an object of energy diplomacy between nations. Manufacturers cannot allocate their production solely to one importing country.

Considering these unique characteristics of LNG trade, it is essential to evaluate how the direct transport rules under the FTA agreement apply.

4. Perspectives on Applying the Direct Transport Rule to LNG as a Bulk Liquid Cargo

When interpreting the provisions of the law literally, how should Annex 3, Article 9 of the Korea-ASEAN FTA be interpreted in the case of LNG transport, considering its unique characteristics? If LNG is additionally purchased in a transit country and mixed into a single tank, can the exceptions under paragraph 2 of Article 9 apply?

Let us examine the relevant provisions:

- **Article 9.2(a):** "The transit is justified by geographical reasons or solely for transport-related considerations."
If additional LNG purchased in the transit country is intended not for resale but solely for maintaining the cooling requirements of the LNG tank, would this qualify as a transport-related consideration?
- **Article 9.2(b):** "The goods are neither traded nor consumed in the third country."
If the LNG purchased in the exporting country remains neither traded nor consumed in the transit country, does this meet the requirement?
- **Article 9.2(c):** "The goods undergo no operations other than unloading, reloading, or operations necessary to preserve them in good condition."
If the LNG purchased in the exporting country is neither unloaded nor reloaded, does this suffice? Further, does the mixing of additional LNG purchased in the transit country for securing "heel" gas to maintain tank cooling qualify as an operation necessary to preserve the goods in good condition?

Resolving these questions requires confirming the facts and exploring and interpreting the legal norms related to these facts. Then, the results can be applied to determine whether the additional LNG purchased in the transit country qualifies for an exception to the direct transport rule.

The application of legal provisions can include socio-economic interpretations, reflecting changes in modern society and economic conditions. Given the current global scramble to secure LNG, should the direct transport provisions under the FTA, which are not explicitly defined for LNG, be interpreted strictly or flexibly to account for unique circumstances?

This is a matter requiring consensus between taxpayers and tax authorities. A strict interpretation might undermine the practicalities of LNG trade, while a flexible approach could address the distinct nature of LNG transport without violating the fundamental purpose of the direct transport rule.

The application of legal provisions can involve socio-economic interpretations, reflecting the semantic significance of the regulations in modern society and the changes in social and economic conditions. From this perspective, in a situation where multiple countries are making every effort to secure LNG, taxpayers and tax authorities need to reach a consensus on whether the FTA agreement's direct transport provisions, which are not explicitly defined for LNG, should be interpreted strictly or flexibly, considering specific circumstances.

Furthermore, the application of regulations involves logical principles of statutory interpretation. One such method is the reverse interpretation of provisions not explicitly regulated. For instance, if LNG purchased in a third country is used for cooling purposes on a returning LNG carrier without being unloaded in the importing country, and not

intended for resale, could this be considered a transportation requirement? This is an issue that requires consensus between taxpayers and tax authorities.

In the case of LNG, where a single vessel carries only one type of cargo, even a purchase of as little as 1% additional LNG from another country could result in the cargo's origin not being recognized. This contrasts with general container cargo, where additional cargo loaded in a third country does not affect the originating status of the original cargo. In LNG's case, additional loading is not an option. From the perspective of fairness, taxpayers and tax authorities need to reach a consensus on whether separate provisions should be enacted for LNG or the literal scope of the text should be expanded to account for such scenarios.

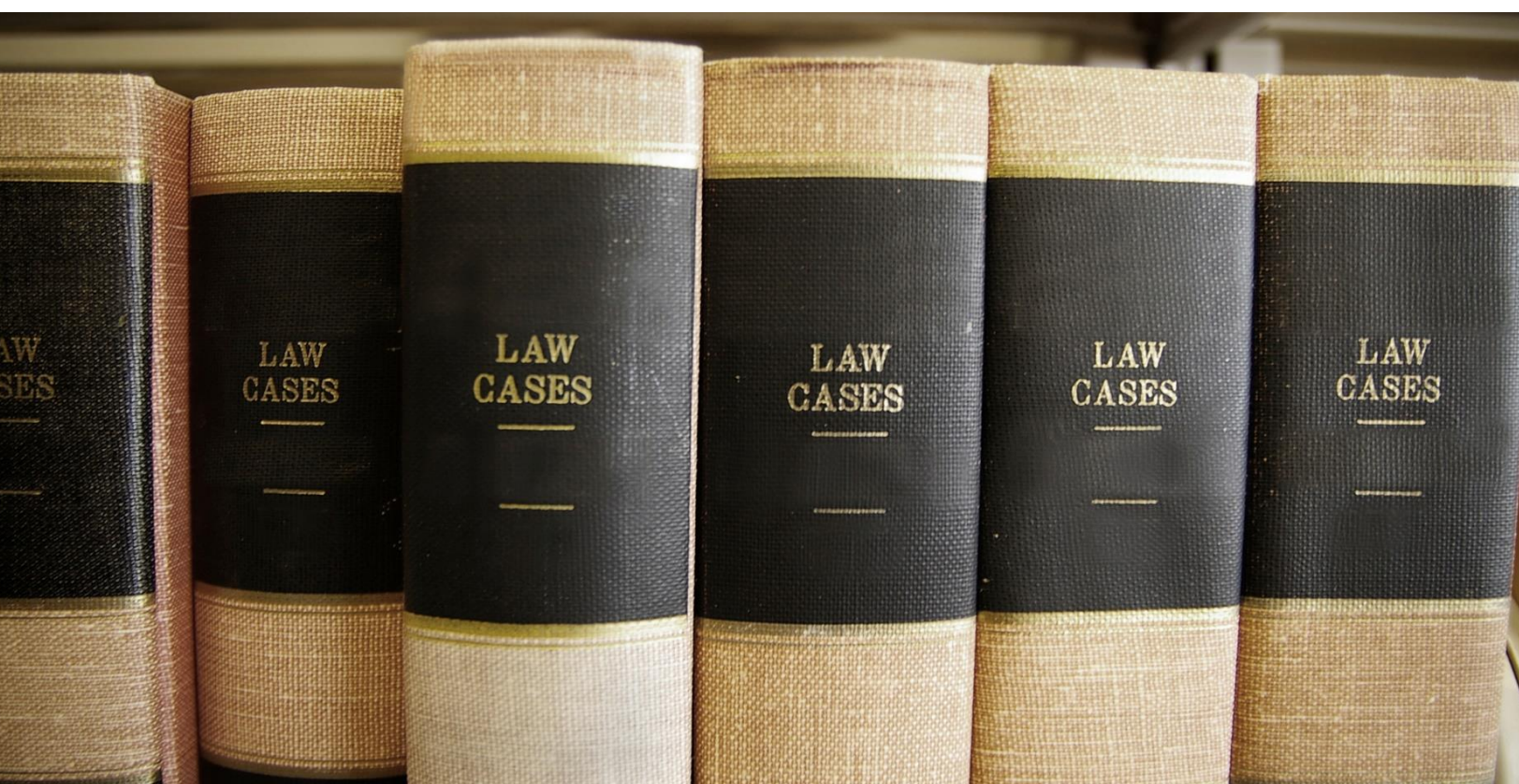
If the primary export of an LNG-producing country is LNG and the importing country exports various goods, situations where LNG fails to qualify for FTA benefits due to the direct transport rule may increase. From a fairness perspective, separate negotiations on specific provisions might be necessary.

5. Conclusion: Understanding and Consensus in Applying LNG Import Rules

From a logical perspective, in cases where LNG purchased in a transit country is mixed into the original tank, the characteristics of LNG require maintaining a specific temperature. For this, "heel" gas is essential. If the additional LNG purchased in the transit country is solely for this purpose, it could align with the transportation requirements under Article 9.2(a). However, if the additional LNG is intended for resale in the importing country, it would not be justifiable. There is also the question of whether a 5% margin of error could be applied if slightly more LNG is unloaded during the liquid cargo unloading process.

Under Article 9.2(b), which states, "The goods are neither traded nor consumed in the third country," LNG purchased in the transit country for cooling purposes, without ownership transfer, would not be considered traded or consumed. Article 9.2(c), which restricts operations to "unloading, reloading, or operations necessary to preserve the goods in good condition," limits the allowable scope of activities. While cooling purposes at the port of unloading may qualify, if an LNG carrier cannot return after unloading and must ensure proper cooling, mixing could be interpreted as an operation necessary to preserve the goods' condition.

From a legal interpretation standpoint, the provisions regarding "transportation requirements" and "operations" are not explicitly stated in the FTA direct transport rules. This makes judgment under the current framework challenging. If interpreted from a modern perspective that considers social and economic circumstances, securing LNG for cooling purposes during transit could be viewed as a necessary transportation requirement. If reverse interpretation is applied to unspecified actions, LNG purchased in the transit country for cooling purposes rather than resale could be included within the scope of transportation requirements.



Analysis on Recent Customs Judicial Precedent

Whether the item in question (Low Iron Patterned Solar Glass Arc Coating) should be classified as HSK heading 8541.90–9000 as a part of a solar module, or as HSK heading 7007.19–1000 as other safety tempered glass.

[Disposal Overview]

A. From April 8, 2019 to November 22, 2022, the claimant company imported Low Iron Patterned Solar Glass Arc Coating, etc. (hereinafter referred to as "item at issue") from A and B located in China, in 275 cases including import declaration number OO. Considering the item at issue as 'other safety tempered glass', the claimant classified the item at issue under No. 7007.19-1000 of the Customs and Statistics Integrated Product Classification Table (hereinafter referred to as "HSK"). The claimant reported at a the agreed tariff rate (hereinafter referred to as "FCN1") of 5.6~6.5% in accordance with the "Free Trade Agreement between the Government of the Republic of Korea and the Government of the People's Republic of China" (hereinafter referred to as "Korea-China FTA") or WTO at a basic tax rate of 8%, and the disposition office accepted it.



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B. The claimant corporation made a correction request to seek a refund of the total amount of 0 won on March 17, 2024 and March 18, 2024. The claimant corporation claimed to the disposal office that the items at issue are 'parts of solar modules' under HSK heading 8541.90-9000 (WTO concession tariff rate 0%), and as shown in <Appendix 1>, the total tariff amount is OO won, the total value-added tax is OO won, and the total special tax for rural areas is OO won. But the disposition office rejected each of these claims (hereinafter referred to as "disputed disposition") on April 22, 2024, April 29, 2024 and May 10, 2024.

C. The claimant corporation objected and filed a judgment for each on July 3, 2024.

[Issues]

Whether the item at issue (Low Iron Patterned Solar Glass Arc Coating) should be classified as HSK heading 8541.90-9000 as a part of a solar module, or as HSK heading 7007.19-1000 as other safety tempered glass.

[Summary of decision]

Even though tempered glass with anti-reflection coating and prism pattern like the item at issue is effective in increasing the power generation efficiency of solar modules compared to regular tempered glass, it is difficult to determine that it is an essential part of solar modules. So it is appropriate to consider the item at issue as Tempered safety glass of heading 7007.

[Facts and judgment]

The item at issue is a glass substrate used in solar modules that convert sunlight into direct current electricity and produce electricity. The solar module consists of a solar cell, a sealant on both sides, glass and backsheet mounted on the front and back, a frame, and a junction box. The item at issue is a low-iron reinforced glass cover with an optical coating and a prism pattern that is attached to the front of a solar module and used exclusively for solar power generation, which produces electricity by converting sunlight into direct current electricity.

1. Claims of Claimant company

(a) The claimant company submitted the contents of the reply from the preliminary examination of classification by the head of the Customs Valuation and Classification Center for the item at issue, the contents of the WCO 53rd

and 54th HSC decisions, and the notification of change in item classification for tempered glass for smartphones dated April 30, 2014 as well as the judgment decision (Tax Tribunal 2022 Section 112, 4-18-2023). The claimant company argued that the AR coating applied to the item at issue and the prism pattern processing is beyond the scope of tempered glass processing in accordance with the provisions of Note to Chapter 70 of the Tariff Schedule and HS Explanation No. 7007, and that the item at issue is essential parts exclusively for solar module. Therefore the item at issue should be classified under Tariff Schedule No. 8541.90.

2. Opinion of the Disposal Office

(a) The Disposal Office submitted a case of product classification pre-screening response for low-iron tempered glass for solar modules, a case of product classification response for tempered glass for other purposes, a case of Japanese Customs' item classification for similar products, and the WCO 71st and 72nd HSC decision and 'Notice on application standards for product classification' on tempered glass for smartphones dated April 1, 2024 (Korea Customs Service Notice No. 2024-15) [Appendix 2] the 'HS Item Classification Opinion' etc. AR coating and prism processing applied to the item at issue do not exceed the processing scope of Chapter 70 of the Tariff Schedule, and the item at issue are not combined with other goods. Since it is not an essential component for the operation of solar modules, it cannot be classified as a part and should be classified under tariff table No. 7007.19.

(B) The websites of many overseas glass processing companies (OO, etc.) present low-iron solar glass in various forms (general, AR coating, pattern formation and AR coating tempered glass). There are many cases of promoting pattern formation and AR coating tempered glass as greenhouse glass. Among greenhouse glass, some have not only prism patterns but also various types of patterns, and some have light transmittances of up to 98.5% or more. In addition, there are confirmed cases of low iron tempered glass with AR coating being used in various fields such as electronic product displays, shopping windows, and museums.

(c) In the HS product classification opinion in paragraph (c) above, which reflects the WCO 71st and 72nd HSC decisions, regarding 'Display cover glass for smart-phone', it is stated that "the glass can be shaped as desired. After cutting and strengthening, they are coated to improve performance (e.g. infrared (IR) selectivity, anti-reflection (AR) and anti-fingerprint (AF) coatings), but are not printed with conductive inks.". For 'Smart refrigerator display cover glass (Display cover glass for refrigerators)', "The glass is cut into the desired shape, strengthened, and then printed or coated to improve performance (e.g. non-conductive

shielding ink as well as printing and anti-fingerprint coating)” It also states that each article is classified under heading 7007.19 in accordance with GIRs 1 and 6.

3.Judgment

Considering the facts and related laws and regulations above, the claiming company argues that the degree of processing of the item at issue exceeds the processing scope of No. 7007, and that the item at issue is an essential part of solar modules so should be classified as No. 8541. However, because the item at issue is presented alone and not with other items or items to be combined with it, **1) The point that the item must be classified according to their nature and characteristics at the time of import declaration;** The item at issue became tempered glass through a heat treatment process after pattern formation (normal glass manufacturing process) and AR coating (normal glass state). Afterwards, inspection, cleaning, and packaging processes were performed. **2) It is difficult to regard the degree of processing of the item at issue as exceeding the processing scope of No. 7007;** On the websites of overseas glass manufacturers, regular glass, glass with only AR coating, and tempered glass with pattern formation and AR coating are used for various purposes, including greenhouse glass, exhibition halls, museums, and electronic product displays, in addition to solar glass. Even though tempered glass with pattern formation and AR coating, like the item at issue, has the effect of increasing the power generation efficiency of solar modules compared to regular tempered glass, with this reason alone, **3) It is difficult to determine that the item at issue is an essential part of solar modules.** While there are many domestic and foreign classification cases where solar glass, such as the item at issue, was classified under heading 7007, **4) There are no confirmed cases of classification as parts of Class 85 electrical equipment, etc.** In light of the above, it is judged that there was no error in the disposition of this case in which the disposition office rejected the claimant company's request for correction by considering the item at issue as reinforced safety glass of heading 7007.



HS case solved by logic

Classification of food serving robots

Today, as AI (artificial intelligence) technology develops, robots are appearing in various fields. A robot is a mechanical device designed to perform a specific task in the physical environment, often including programmable electronic controls. This device is an item that can collect information through sensors and perform specific actions based on the processed data. Depending on the application field, it can be roughly divided into the following types:

- Industrial robots: Machines designed to perform automated tasks in manufacturing.
- Service robots: Machines that assist people in medical, home, public places, etc.
- Autonomous robot: A robot that explores the environment and makes decisions on its own using artificial intelligence (AI).

Among them, food serving robots are a type that can be easily seen in everyday life these days, and we would like to look at the classification of these items.



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Product overview

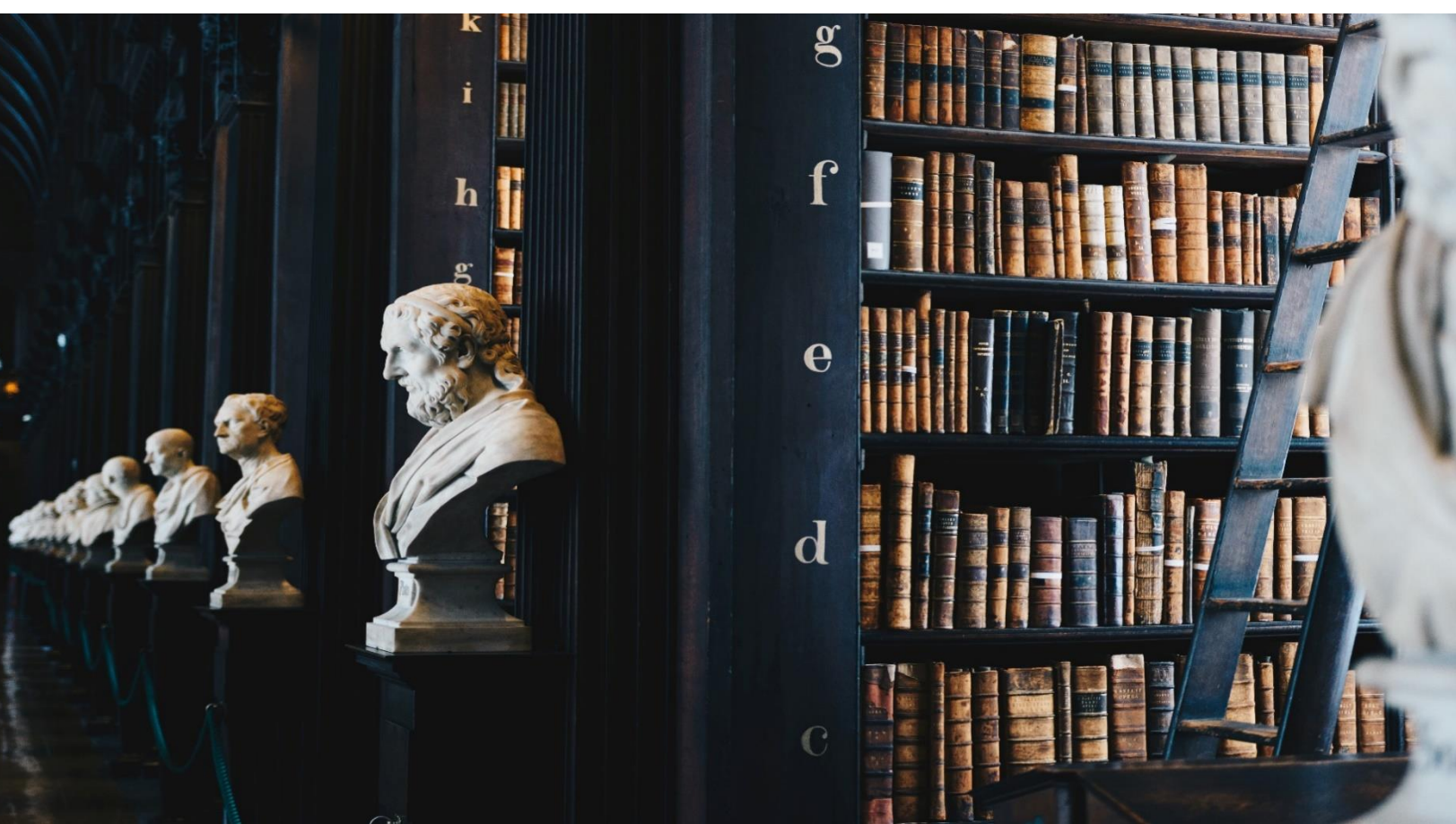
A food serving robot is a device that autonomously transports food and beverages from an indoor store to the set location after food or beverages is ordered through an application or the location is manually set.

Reason for decision

Tariff Schedule heading 8428 classifies "other lifting, handling, loading, and unloading machinery," and subheading 8428.90 classifies "other machinery." .

The explanatory note for the relevant heading states, "Excluding lifting machines and handling machines falling under headings 8425 to 8427, this heading includes a wide range of machines for mechanical handling of materials, cargo, etc. [lifting, transport, loading, and unloading, unloading, etc.],"

Food serving robots carry out the task of transporting food and beverages indoors and outdoors, and this falls under the category of heading 8428, which deals with mechanical handling of cargo, etc. However, this product is a service robot used in commerce, not an industrial robot (subheading 8428.70), and is considered "other handling machinery" that transports cargo (food and beverages). So according to the general rules for interpretation of the tariff table Subject to subheadings 1 and 6, it is classified in subheadings 8428.90-9000. [WCO HSC (Harmonized System Committee) 72nd decision]



Benefits and prospects from the entry into force of the Korea–Philippine FTA

1. Overview

The Korea-Philippines FTA, which has been promoted since 2019, was ratified by the Korean National Assembly on November 14 and will take effect on December 31, 2024. The Korea-Philippines FTA is the fifth bilateral FTA concluded among ASEAN (Association of Southeast Asian Nations) countries. Ultimately, considering the Korea-ASEAN FTA and RCEP (effective in February 2022), the two countries achieved a liberalization rate of 94.8% for Korea and 96.5% for the Philippines based on the number of items, and 97% for Korea and 97.6% for the Philippines based on import amount. With a higher level of market opening than the existing Korea-ASEAN FTA and RCEP, trade between the two countries is improving. It is expected to not only expand investment but also secure a competitive advantage within the Philippine market compared to competing countries.



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2. Main contents

(1) [Philippine Concession] Main Items

When it comes to Korea's exports to the Philippines, automobiles are the main beneficiary item. The Philippines currently imposes a 5% tariff on Korean cars, but once the FTA takes effect, tariffs on both internal combustion engine passenger cars and trucks will be eliminated immediately.

Tariffs on eco-friendly vehicles such as electric and hybrid vehicles will be abolished over five years. The export conditions for our main export items are expected to be greatly improved through the abolition of tariffs on automobile parts (3-30%) within 5 years. Items of interest for our agricultural and fisheries exports, such as coffee preparation, soybean, and grain flour will also be immediately eliminated, and tariff on ginseng, pepper, skipjack tuna will be abolished within 15 years.

(2) [Korea Concession] Main Items

The Korean side will gradually lower the tariff on bananas, an item of interest to the Philippines, from the current 30% and abolish them within five years. Tariffs will be lowered by 6% each year starting from the first year of FTA enforcement. Considering that most of the bananas imported by Korea are from the Philippines, the price of bananas perceived by consumers is expected to drop.

As soon as the Korea-Philippines FTA goes into effect on the 31st, the first-year tariff elimination will be applied immediately, and the second-year tariffs will be eliminated in succession starting the next day, January 1, so the effect felt by the import and export industry is expected to be very significant.

Meanwhile, tariffs on bananas, the Philippines' main export product, are scheduled to be abolished within five years, but through safeguard measures, tariffs of up to 30% can be reimposed when a certain import volume (refer to the trigger volume based on the table below) is exceeded.

3. Outlook and recommendations

The Ministry of Industry expects to secure a competitive advantage in the Philippine market compared to competing countries by expanding trade and investment between the two countries as well as improving market accessibility

for our companies through a higher level of market opening than the existing Korea-ASEAN FTA and Regional Comprehensive Economic Partnership (RCEP). In particular, the immediate abolition of tariffs on automobiles, Korea's main export product, can be seen as the biggest benefit of the Korea-Philippines FTA.

At a time when the multilateral trade system is weakening, the importance of concluding a bilateral FTA is growing. For those exporting to the Philippines, please receive the benefits of the Philippines-Korea FTA by issuing a certificate of origin through a customs broker and applying to be a certified exporter of origin for each item under the Korea-Philippines FTA.



FTA and import/export practical business guide **Korea–Philippines FTA takes effect**

1. Outline

On December 31, 2024, the Free Trade Agreement between the Republic of Korea and the Republic of the Philippines will enter into force. The Korea-ASEAN FTA and the Regional Comprehensive Economic Partnership (RCEP) were already in effect between Korea and the Philippines, and the rate of liberalization has further increased with the additional tariff elimination through the Korea-Philippines FTA.



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2. Origin determination criteria

The Korea-Philippines FTA, like other FTAs, stipulates general standards and product-specific standards for determining origin.

- Wholly Obtained (WO)
- Product Specific Rules (PSR)
- Produced only with originating materials (PE)

3. Proof of origin

1) Proof method

The goal is to adopt the institutional issuance method and the self-certification method by certified exporters at the time the agreement enters into force, and to introduce the self-certification method for exporters and producers within 10 years.

2) expiration period

The certificate of origin is valid for 12 months from the date of issuance or creation.

3) applied period

Issuance (creation) is possible from December 31, 2024, the effective date of the agreement.

4) Retroactive issuance

If the certificate of origin is not issued within 3 working days (including the date of shipment) from the date of shipment due to an involuntary error, omission, or other valid reason, you can apply for retroactive issuance (issuance after shipment) within 1 year from the date of shipment.

4. Applying the agreed tariff

1) principle

Importers who wish to have the conventional tariff applied to imported goods must apply for the application of the conventional tariff before the import declaration is accepted.

2) exception

If you fail to apply for the application of the convention tariff before the import

declaration is accepted, you can apply for the application of the convention tariff within one year from the date of acceptance of the import declaration.

3) expiration period

The certificate of origin must be within one year from the date of issuance or preparation based on the date of application for application of the agreed tariff.

5. Opinion

From the Philippines' perspective, the Korea-Philippines FTA is the second bilateral agreement concluded after the Philippines-Japan Economic Partnership Agreement (EPA), which came into effect in 2008. Perhaps due to the influence of the Philippine-Japanese EPA, the market share of Japanese brand vehicles in the Philippines reached 82.5% as of 2022. The market share of Korean brand vehicles was only 2.5%.

Through this Korea-Philippines FTA, additional tariffs will be eliminated on items that were not eliminated in the existing Korea-ASEAN FTA and RCEP. In particular, tariffs on passenger cars and trucks will be abolished immediately upon effect. It will be worth paying attention to see whether the Korea-Philippines FTA's effectuation will contribute to an increase in the market share of Korean brand automobiles in the Philippines.

The Philippines has a population of approximately 110 million, making it the second most populous country among ASEAN countries after Indonesia, making it a country with great consumption potential. It is also a resource-rich country with abundant mineral deposits such as nickel and cobalt, which are used in various alloys and electric vehicle batteries. We hope that the entry into force of the Korea-Philippines FTA will have a positive impact on the economy and industrial development of both countries.



Contents and Opinion of Customs Trade Amendment **Establishment of “Notice on Collection Processing”**

1. Overview

Customs performs collection on items subject to customs duties, and taxpayers pay the relevant tax. These imposition, collection, and payment procedures are comprehensively regulated in the Customs Act, and detailed implementation plans are specified through enforcement ordinances, enforcement regulations, notices, and instructions. Customs officials, customs brokers, and import/export companies perform their duties in compliance with these regulations.

Previously, matters related to collection, payment, monthly payment, refund, etc. were individually regulated in each directive and notice, but the Korea Customs Service recently abolished six directives and notices, including the “Notice on the Operation of Collateral System for Customs Duties, etc.”, and enacted a new “Notice on Collection Processing” by integrating them. Below, we will look at the system of integrated existing notices and directives and the newly enacted notice.



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2. Reason for enactment

In accordance with the guidelines for integration and abolition of administrative rules in the customs field, this notice was enacted by integrating 7 notices and directives in similar fields. Administrative rules related to collection work divided into 7 categories were consolidated as 「Notice on collection work processing」 and have made it possible to clearly understand most matters related to collection and payment.

The following are seven integrated notices.

1) 「**Notice on operation of collateral system for tariffs, etc.**」(Korea Customs Service Notice No. 2023-69, December 27, 2023)

- Articles 24 to 26-2, Article 248 (2) of the Customs Act, Articles 9 to 14, Article 252 of the Enforcement Decree of the same Act, Article 1-3 of the Enforcement Regulations of the same Act, Article 6 of the 「Special Act on Refunds and Customs Duties on Raw Materials for Export, etc.」 and Article 3 of the Enforcement Decree of the same Act establish matters delegated to the Commissioner of the Korea Customs Service and the head of the customs office and the detailed procedures necessary for their implementation.

2) 「**Notice on the operation of the monthly payment system**」(Korea Customs Service Notice No. 2024-13, April 2, 2024)

- Pursuant to Article 9 (3) of the Customs Act and Article 1 (5) of the Enforcement Decree of the same Act, the matters delegated to the Commissioner of the Korea Customs Service and necessary for the operation of the monthly payment system are in order to ensure that the taxes that the payment due dates belong in the same month can be paid in one lump sum by the last day.

3) 「**Notice on extension of payment deadline and installment payment**」(Korea Customs Service Notice No. 2022-43, July 29, 2022)

- Provisions for extension of payment deadline and installment payment method pursuant to Article 10 and 107 of the 「Customs Act」 and Article 2 (2) and 125 (2) of the Enforcement Decree of the same Act.

4) 「**Notice on agency fees for payment of customs duties, fines and disposition of notification by credit cards, etc.**」(Korea Customs Service Notice No. 2023-68, December 27, 2023)

- Prescribes payment agency fees such as customs duties, fines, and disposition of notification fines approved by the Commissioner of the Korea Customs Service.

5) 「**Notice on Customs Fee Collection Processing**」(Korea Customs Service Notice No. 2017-49, July 28, 2017)

- Regulations stipulate matters delegated to the Commissioner of the Korea Customs Service pursuant to Articles 247 and 321 of the 「Customs Act」 and Articles 78 and 81 of the Enforcement Rules of the same Act as well as matters pertaining to the imposition and collection of customs fees.

6) 「**Order on collection affairs processing**」(Korea Customs Service Order No. 1872, July 17, 2017)

- Provision of processing procedures for collection in accordance with the "Enforcement Rules of the National Treasury Management Act" and the "Customs Act," etc., and administrative procedures in cases where a national treasury-receiving financial institution collects customs duties, etc. by a check in accordance with the "Act on Tax Payment by Securities."

7) 「**Order on Customs Refund Processing**」(Korea Customs Service Order No. 2326, June 24, 2024)

- Procedures for customs duties refund, etc. are established in accordance with Articles 46 and 106 of the Customs Act and Articles 50 to 56 of the Enforcement Decree of the same Act.

3. Main contents

The system of this newly integrated and enacted "Notice on Collection Processing" is as follows.

- ☐ Decision on collection of taxes such as customs duties (Articles 4 to 6)
- ☐ Notice of payment (Articles §7 to §9)
- ☐ Confirmation of receipt and comparison (Articles 10 to 19)
- ☐ Monthly payment (Articles §20 to §34)
- ☐ Collateral management (Articles §35 to §51)
- ☐ Deposit and disbursement of government deposits (Articles 52 to 61)
- ☐ Management of arrears (Articles §62~Articles 64)
- ☐ Refund processing (Articles §65 to §72)

Most of the contents of the seven existing notices and directives have been integrated into this new notice, and following the revision of the Customs Act, the contents of Articles 2 to 5 of the existing <Notice on Customs Fee Collection Processing> related to dispatch inspection fees have been deleted. In addition, terminology has been revised, and some other provisions have been deleted and clarified.

4. Effective date

This notice will take effect from December 11, 2024.

5. Opinion

The enactment of this notification is expected to be an important stepping stone in improving the transparency and efficiency of customs administration related to the collection and payment of customs duties. By integrating and systematizing various regulations, this has contributed to creating an environment in which import/export companies, customs officials, and customs-related personnel can more easily understand and handle customs payment and collection tasks.

Through the enactment of this new notification, it is expected that customs business entities involved in clerical work such as collection, payment, and refund will go beyond simply performing legal obligations, and will play a role in supporting economic revitalization by strengthening the transparency of customs bond securing and collection procedures.

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